Banking Conditions Survey

November 2026

Bankers report stable growth in loan volume in the face of continued credit tightening

What's new

For this survey, Eleventh District banking executives were asked supplemental questions on outlook concerns, core deposits, lending standards, and restrictions on AI agentic activity.

Loan volume continued to grow at the same pace as the prior period. Credit standards and terms tightened, and loan pricing increased broadly. Despite the higher interest rate, loan demand increased further. Overall loan performance weakened slightly after having improved for the last two surveys. Bankers reported a decrease in general business activity on net. Outlooks are mixed. Survey respondents expect an increase in loan demand but a decline in business activity six months from now, as well as a deterioration in loan performance.

Next release: December 29, 2026

Data were collected October 27–November 4, and 70 financial institutions responded to the survey. The Federal Reserve Bank of Dallas conducts the Banking Conditions Survey twice each quarter to obtain a timely assessment of activity at banks and credit unions headquartered in the Eleventh Federal Reserve District. CEOs or senior loan officers of financial institutions report on how conditions have changed for indicators such as loan volume, nonperforming loans and loan pricing. Respondents are also asked to report on their banking outlook and their evaluation of general business activity.

Survey responses are used to calculate an index for each indicator. Each index is calculated by subtracting the percentage of respondents reporting a decrease (or tightening) from the percentage reporting an increase (or easing). When the share of respondents reporting an increase exceeds the share reporting a decrease, the index will be greater than zero, suggesting the indicator has increased over the prior reporting period. If the share of respondents reporting a decrease exceeds the share reporting an increase, the index will be below zero, suggesting the indicator has decreased over the prior reporting period. An index will be zero when the number of respondents reporting an increase is equal to the number reporting a decrease.

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Results summary

Total Loans:
Over the past six weeks, how have the following changed?

Indicator	Current Index	Previous Index	% Reporting Increase	% Reporting No Change	% Reporting Decrease
Loan volume	21.4	23.0	45.7	30.0	24.3
Loan demand	24.3	8.2	48.6	27.1	24.3
Nonperforming loans	2.9	–8.2	18.6	65.7	15.7
Loan pricing	52.9	25.0	54.3	44.3	1.4

Indicator	Current Index	Previous Index	% Reporting Eased	% Reporting No Change	% Reporting Tightened
Credit standards and terms	–12.3	–10.4	0.0	87.7	12.3

Commercial and Industrial Loans:
Over the past six weeks, how have the following changed?

Indicator	Current Index	Previous Index	% Reporting Increase	% Reporting No Change	% Reporting Decrease
Loan volume	6.1	6.9	24.6	56.9	18.5
Nonperforming loans	–1.5	–7.0	7.7	83.1	9.2

Indicator	Current Index	Previous Index	% Reporting Eased	% Reporting No Change	% Reporting Tightened
Credit standards and terms	–14.3	–5.2	0.0	85.7	14.3

Commercial Real Estate Loans:
Over the past six weeks, how have the following changed?

Indicator	Current Index	Previous Index	% Reporting Increase	% Reporting No Change	% Reporting Decrease
Loan volume	20.0	15.5	36.9	46.2	16.9
Nonperforming loans	3.0	–6.9	13.8	75.4	10.8

Indicator	Current Index	Previous Index	% Reporting Eased	% Reporting No Change	% Reporting Tightened
Credit standards and terms	–13.8	–7.1	0.0	86.2	13.8

Residential Real Estate Loans:
Over the past six weeks, how have the following changed?

Indicator	Current Index	Previous Index	% Reporting Increase	% Reporting No Change	% Reporting Decrease
Loan volume	–7.6	0.0	21.2	50.0	28.8
Nonperforming loans	1.5	–1.7	10.6	80.3	9.1

Indicator	Current Index	Previous Index	% Reporting Eased	% Reporting No Change	% Reporting Tightened
Credit standards and terms	–6.1	–5.2	0.0	93.9	6.1

Consumer Loans:
Over the past six weeks, how have the following changed?

Indicator	Current Index	Previous Index	% Reporting Increase	% Reporting No Change	% Reporting Decrease
Loan volume	–5.8	–10.0	14.5	65.2	20.3

Nonperforming loans	4.3	0.0	10.1	84.1	5.8

Indicator	Current Index	Previous Index	% Reporting Eased	% Reporting No Change	% Reporting Tightened
Credit standards and terms	–2.9	–3.3	1.4	94.2	4.3

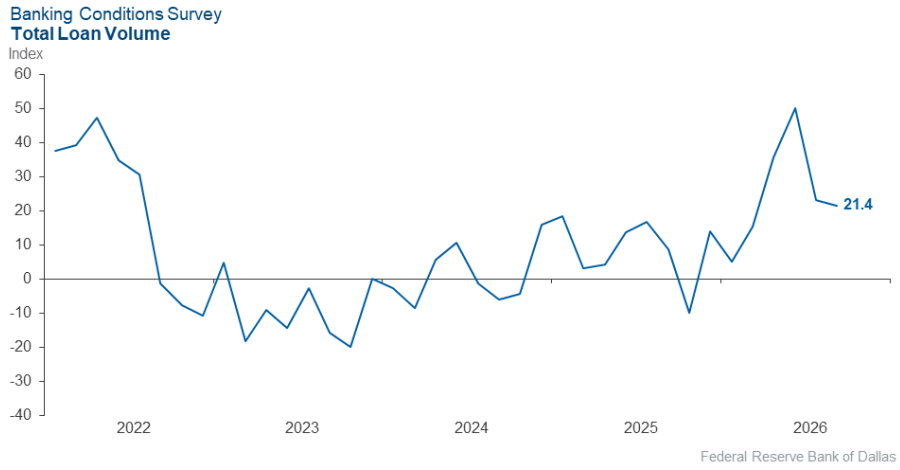
Banking Outlook:
What is your expectation for the following items six months from now?

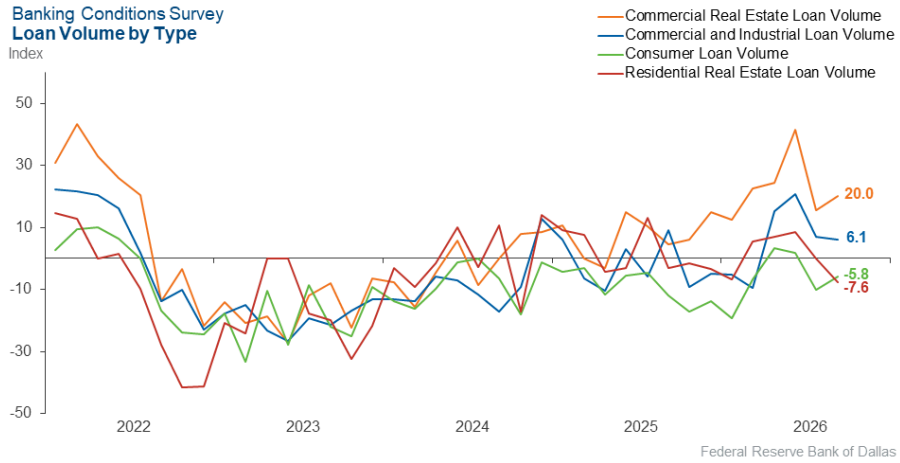
Indicator	Current Index	Previous Index	% Reporting Increase	% Reporting No Change	% Reporting Decrease
Total loan demand	5.7	–1.6	40.0	25.7	34.3
Nonperforming loans	12.9	16.6	28.6	55.7	15.7

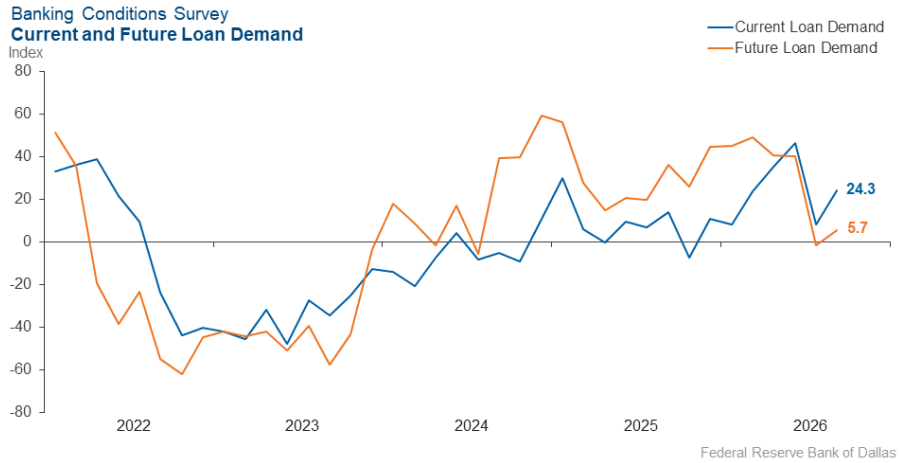
General Business Activity:
What is your evaluation of the level of activity?

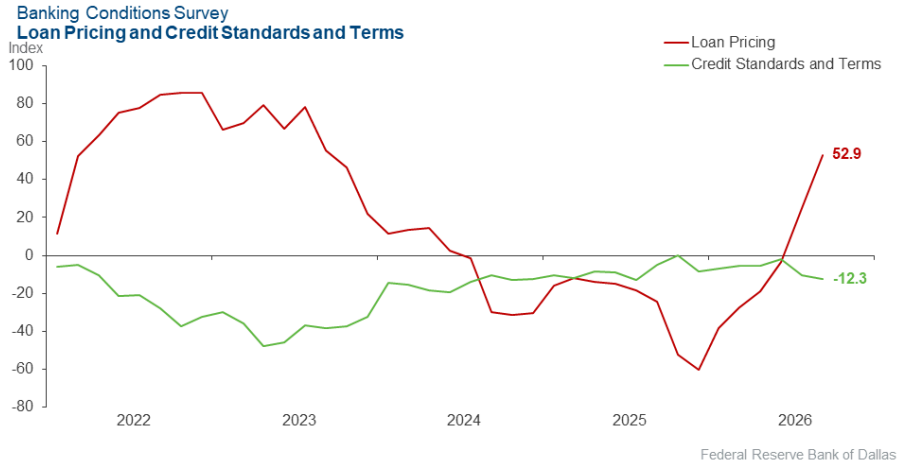
Indicator	Current Index	Previous Index	% Reporting Better	% Reporting No Change	% Reporting Worse
Over the past six weeks	–5.7	3.3	28.6	37.1	34.3
Six months from now	–11.6	–14.8	23.2	42.0	34.8

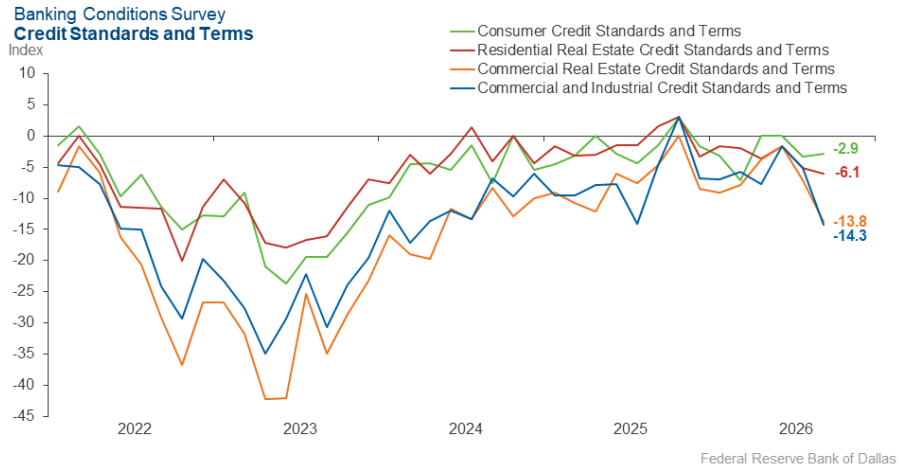
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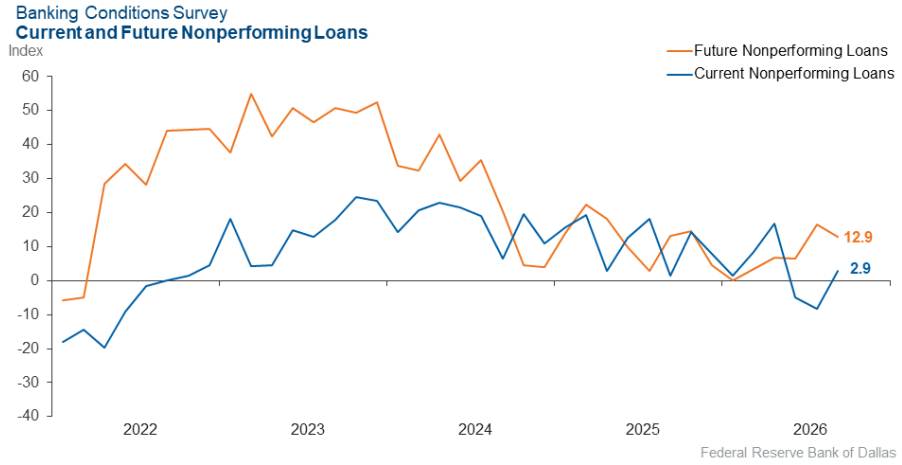


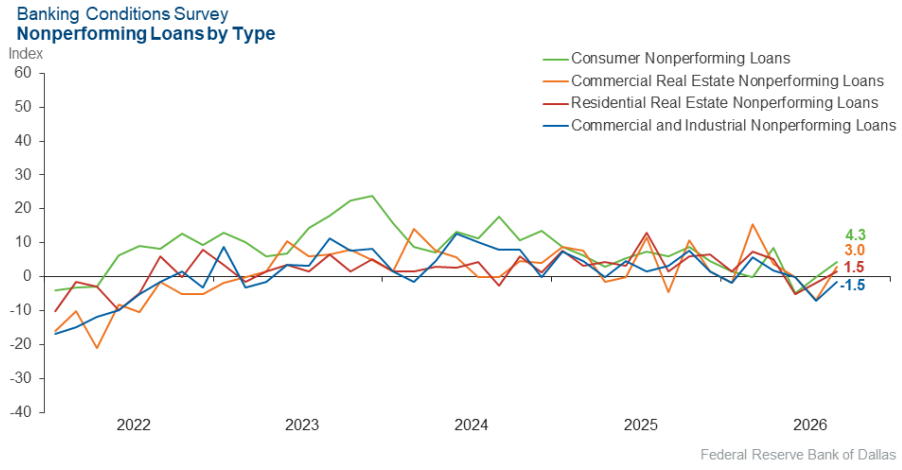

Banking Conditions Survey
Loan Volume by Type
Index
Commercial Real Estate Loan Volume
Commercial and Industrial Loan Volume
Consumer Loan Volume
Residential Real Estate Loan Volume
50
30
10
-10
-30
-50
20.0
6.1
-5.8
-7.6
2022
2023
2024
2025
2026
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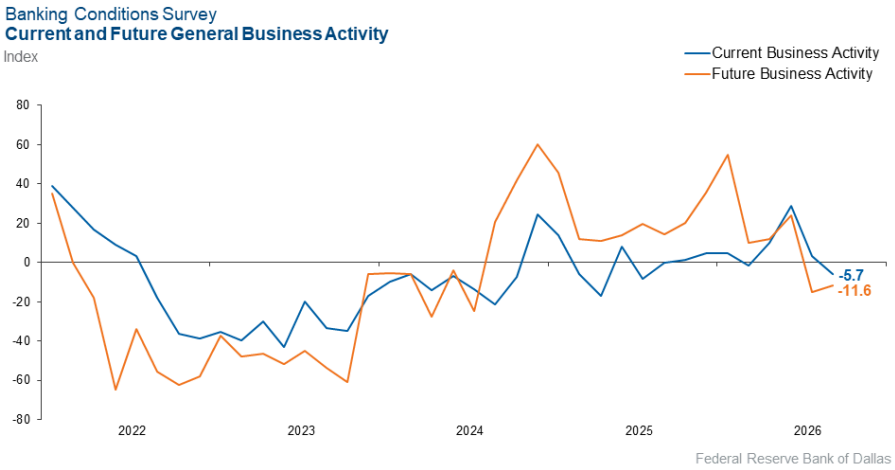

Banking Conditions Survey
Current and Future Loan Demand
Index
Current Loan Demand
Future Loan Demand
80
60
40
20
0
-20
-40
-60
-80
24.3
5.7
2022
2023
2024
2025
2026
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Loan Pricing and Credit Standards and Terms
Index
Loan Pricing
Credit Standards and Terms
100
80
60
40
20
0
-20
-40
-60
-80
52.9
-12.3
2022
2023
2024
2025
2026
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Credit Standards and Terms
Index
Consumer Credit Standards and Terms
Residential Real Estate Credit Standards and Terms
Commercial Real Estate Credit Standards and Terms
Commercial and Industrial Credit Standards and Terms
10
5
0
-5
-10
-15
-20
-25
-30
-35
-40
-45
2022
2023
2024
2025
2026
-2.9
-6.1
-13.8
-14.3
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Banking Conditions Survey
Current and Future Nonperforming Loans
Index
Future Nonperforming Loans
Current Nonperforming Loans
60
50
40
30
20
10
0
-10
-20
-30
-40
2022
2023
2024
2025
2026
12.9
2.9
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Nonperforming Loans by Type
Index
Consumer Nonperforming Loans
Commercial Real Estate Nonperforming Loans
Residential Real Estate Nonperforming Loans
Commercial and Industrial Nonperforming Loans
60
50
40
30
20
10
0
-10
-20
-30
-40
2022
2023
2024
2025
2026
4.3
3.0
1.5
-1.5
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Comments from survey respondents

Survey participants are given the opportunity to submit comments on current issues that may be affecting their businesses. Some comments have been edited for grammar and clarity.

- One of our biggest concerns is increasing rates which puts pressure on our margins. Other concerns are the November midterm elections and the stabilization of oil prices.
- We are starting to see an increase in loan opportunities in commercial and industrial and commercial real estate.
- General business activity has improved but residential real estate has worsened.
- Potential higher interest rates will cause volume to slow and could slow business activity altogether.
- I am worried that if rates keep going up, some customers may have trouble making payments.
- Immigration [slowdown] is having significant repercussions in the [Rio Grande] Valley.
- [We are] continuing to see evidence of a K-shaped economy with a portion of strong credit [quality] loans driving lending, partially offset by consumers adversely impacted by economic stress and inflation.

Questions regarding the Banking Conditions Survey can be addressed to Mariam Yousuf at mariam.yousuf@dal.frb.org.